

# Fearnleys Dry Bulk Weekly

Jun 24, 2026

# Capesize/Newcastlemax

Last week, we wrote "Lower bunker prices and a wide spread between c3 and c5 mean vessels will ballast to the Atlantic. C5 is likely in a bottoming process, but the rest of the market could correct more."

We have the same opinion as last week. C5 TCE is about the same level as in Q1, and it is very rare to see markets drop below the Q1 levels during the remainder of the year. Fundamentals also remain positive, but downside risks are increasing. Over the last seven weeks, year-on-year volume growth has been slightly negative.

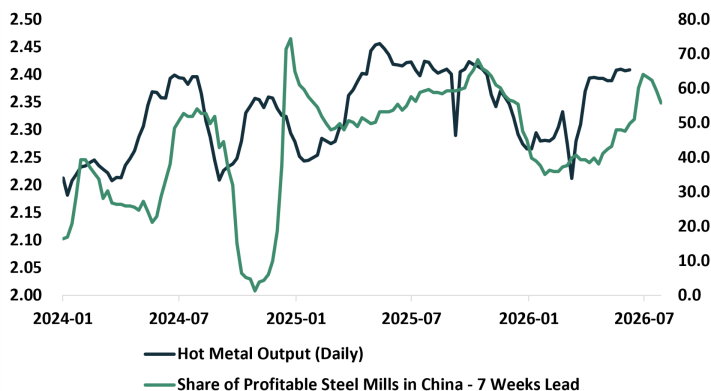
**Top left chart:** No data update from China last week, due to holidays.

**Top right chart:** Shipment volumes were 5.0% higher than last year through week 25. Worth noting - the last seven weeks, the year-on-year growth in volumes was slightly negative. Fundamentals are thus at risk of turning negative very soon. The iron ore market looks decidedly bearish, with prices falling and contango appearing in the futures curve. This development is not too surprising, given that iron ore consumption in China has been below last year's level throughout this year, along with higher inventories. Bauxite volumes keep growing, however, and coal could still provide a positive boost.

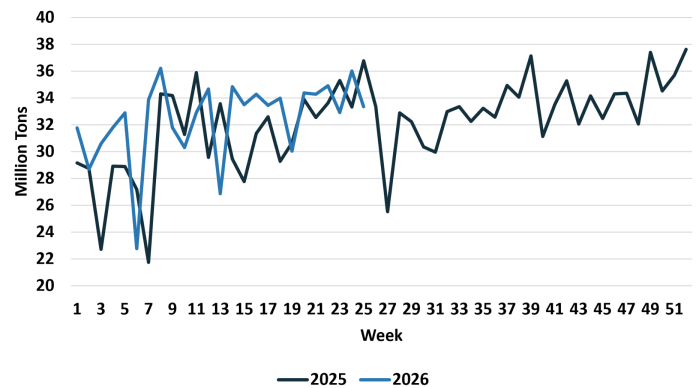
**Bottom left chart:** AIS data was revised since last week, and the SATI now looks less extreme. The indicator is still in "toppish" territory, however.

**Bottom right chart:** The laden/ballast ratio has not changed notably since last week. It remains around the longer-term average and thus does not suggest anything clear in either direction.

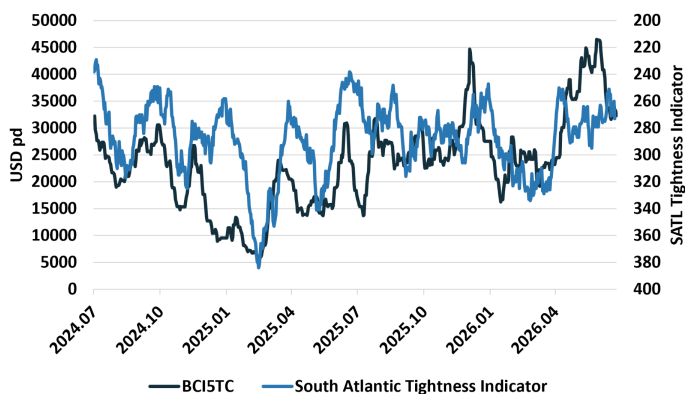
## China - Hot Metal Output vs Share of Profitable Steel Mills (7 Weeks Lead)



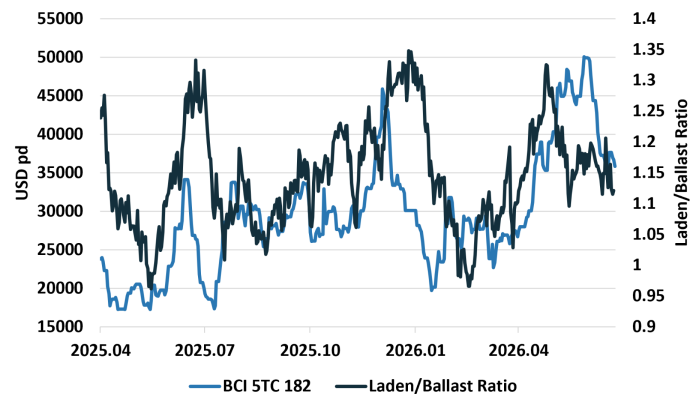
## Weekly Shipment Volumes



## C5TC 180 vs South Atlantic Tightness Indicator



## Laden/Ballast Ratio



## Panamax/Kamsarmax

Last week, we wrote *"Still, it seems like the market will soften in the near-term, with tentative signs from the below indicators suggesting a bottom next month. Otherwise, it is worth noting that the gap between supply and demand continues to narrow. If supply and demand growth are the same, it should mean the market will average the same as last year (BPI82 was 16kpd in Q3 last year). That is not bearish levels historically, but it is bearish compared to current levels."*

The below indicators suggest the market will stabilise around current levels, then a potential upswing from mid-July onwards.

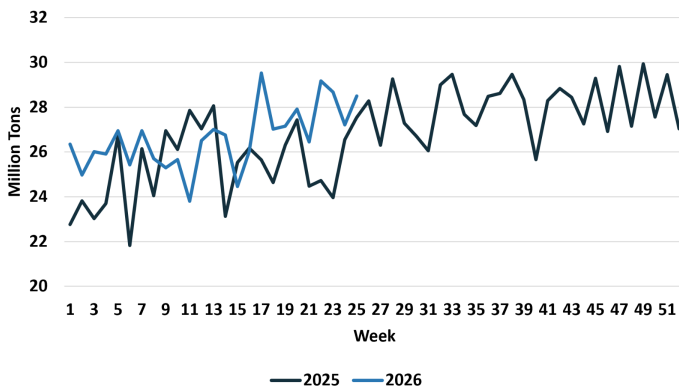
**Top left chart:** Shipment volumes were up 5.0% year on year through week 25, thus continuing the slow decline. Supply growth was 4.6% at the latest reading.

**Top right chart:** The coal futures curve backwardation increased further over the last week. Year-to-date highs for P5 in late July? That's what the charts tell us, but this will also depend on the rest of the market...

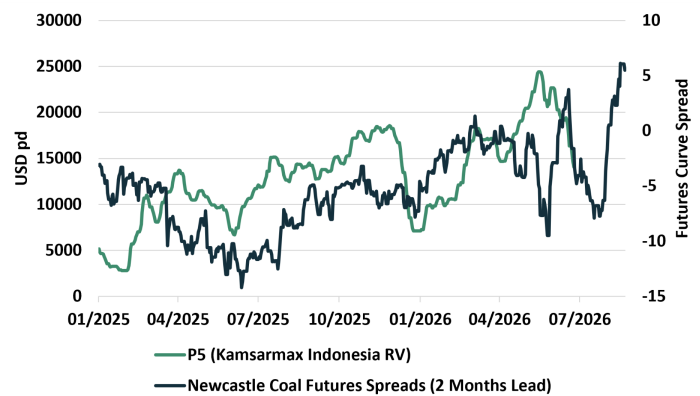
**Bottom left chart:** The Pacific tightness indicator suggest the market will trend sideways or maybe slightly down over the next few weeks, followed by an upswing in mid-July.

**Bottom right chart:** The SATL tightness indicator suggest P6 will trend sideways over the next couple of weeks, followed by an upswing in mid-July.

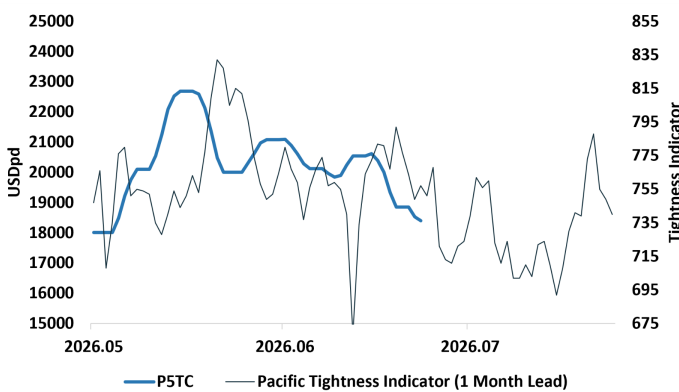
### Weekly Shipment Volumes



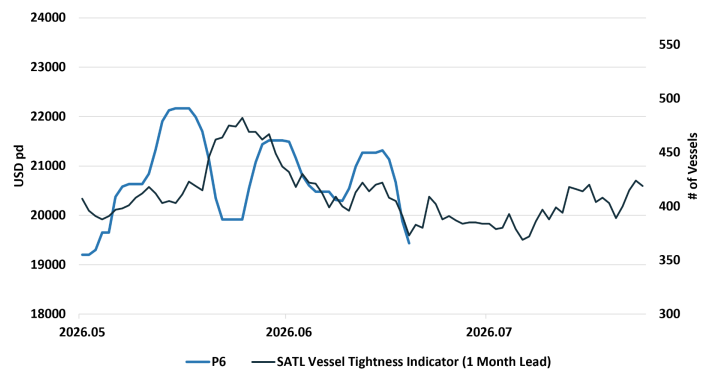
### P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



### P5TC vs Pacific Vessel Tightness Indicator (Lead 1 Month)



### P6 vs South Atlantic Vessel Tightness Indicator (Lead 1 Month)



# Supramax/Ultramax

Last week, we wrote *"The gap between demand and supply is very narrow. Volume growth is below supply growth (4.8% vs 5.2%), but ton x time growth is probably still higher, at around 6%. Therefore, the market is likely to hold firm for at least another month, but should volume growth continue to decrease, it will be harder for the market to stay higher than the same period last year."*

Volume growth was revised up slightly, to 5.1% - still, below supply growth.

Hard to see clear signs that the market will continue to rise. Along with the narrow spread between volume growth and dwt supply growth, the price movement of copper and other industrial metals, and the premium over the Kamsarmax market suggest sideways or slightly down in the coming weeks.

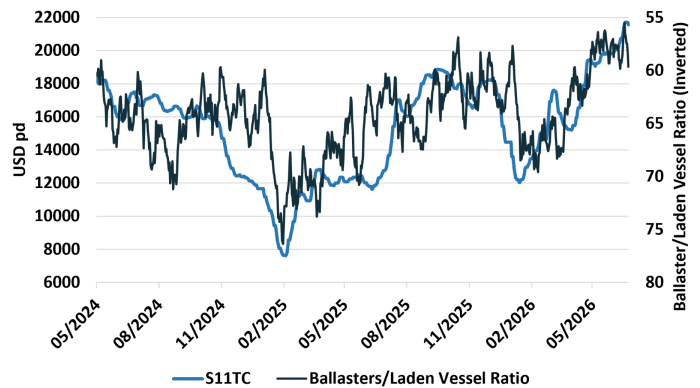
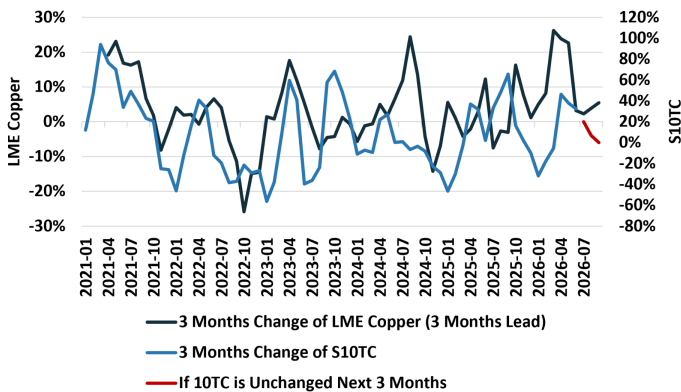
**Top left chart:** We added a curve to this chart showing how the 3-month change in the Supramax 10TC index would look if the market remains flat over the next three months. On that basis, the 3-month change in the copper price suggests the market will rise further. However, it is important to note that there are several ways of measuring the momentum of copper and other industrial metals prices. For example, the 6-month change has turned negative, as has the 1-month change. So, sideways or slightly downwards seems more likely than a rising market.

**Top right chart:** The chart compares the ballaster/laden vessel ratio against the S11TC index. A low ballaster/laden vessel ratio reflects a tighter market balance.

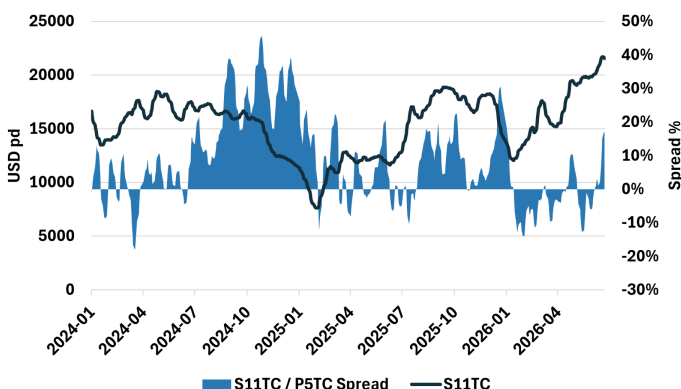
**Bottom left chart:** The Ultramax spread over the Kamsarmax index has increased significantly in the last few weeks. This could mean further upside is limited.

**Bottom right chart:** Shipment volumes growth was to 5.1% through week 25. Volume growth is thus slightly below supply growth. The market is being held up by ton-miles due to the rerouting of MEG volumes, along with slower steaming. The latter two factors are much less of a bullish support now than in the last months, however.

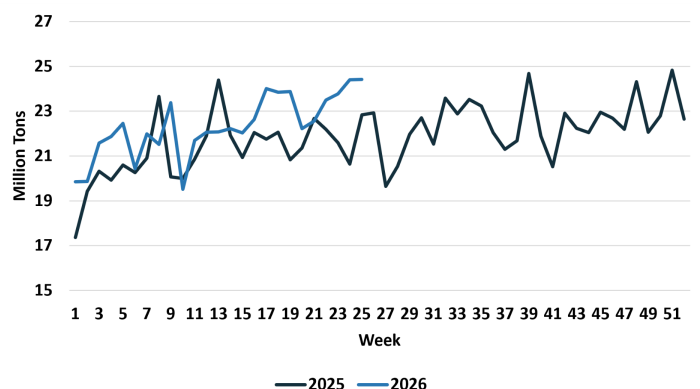
## Copper Price 3 Months Change, 3 Months Lead S11TC vs Ballaster/Laden Vessel Ratio vs 3 Months Change of Supra 10TC



## Ultramax Spread Over Kamsarmax



## Weekly Shipment Volumes



# Handysize

Last week, we wrote *"The Supra/Ultra market keeps climbing, industrial metals prices suggest continued strength, and the demand/supply gap is positive - albeit at a much narrower rate than earlier this year. The market will likely remain firm/stable in the next month at least."*

The picture looks slightly more bearish now. We do not expect further upside going forward, most likely sideways or slightly down, like the Supra/Ultra market.

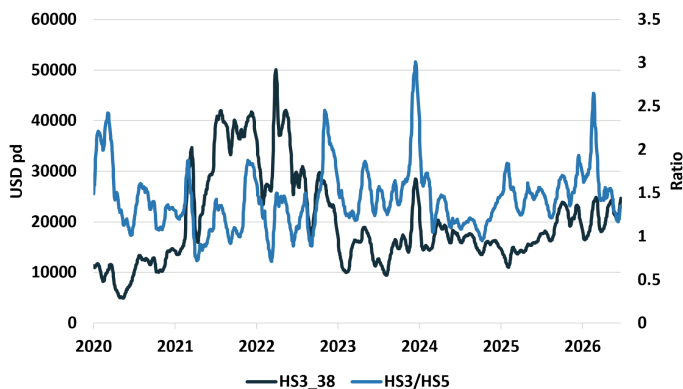
**Top left chart:** The ratio between Rio-Recalada / Skaw-Passero (HS3) and SEA / Singapore-Japan (HS5) is usually a good predictor of tops and bottoms of the HS3 route. A higher ratio suggests a market top, and a lower ratio suggests a market bottom.

**Top right chart:** Through week 24, Handysize shipment volumes were 2.9% higher year on year, decreasing from over 4% earlier this year. Supply growth is under 3%, so fundamentals remain positive, but the gap continues to narrow.

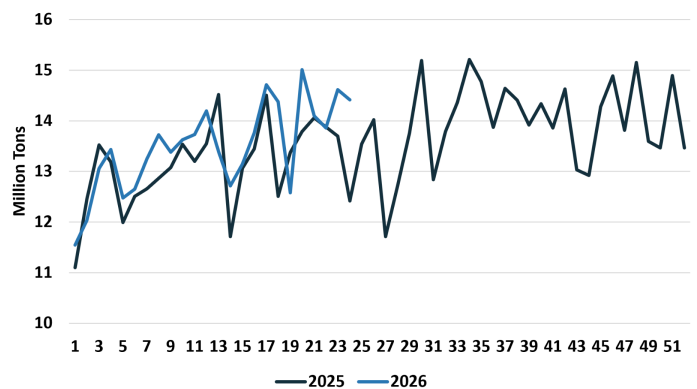
**Bottom left chart:** The correlation between the S11TC and HS7TC is over 90%. The correlation is even higher when the S11TC index is shifted forward a few days, which means that movements in the S11TC index often lead the movements of the HS7TC.

**Bottom right chart:** The laden/ballast ratio is an accurate measure of underlying fundamentals, shown by the high correlation it has with to HS7TC index.

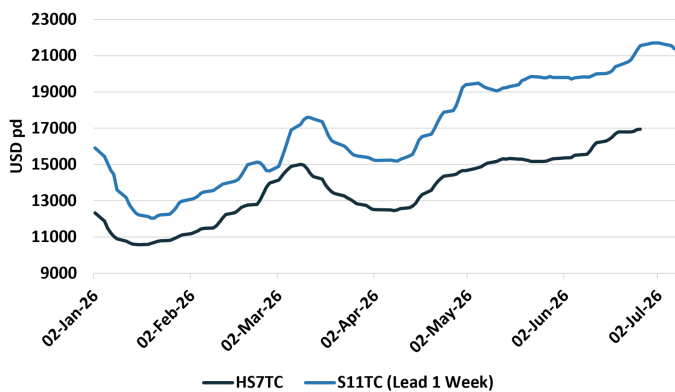
## HS3 vs Ratio of HS3 and HS5



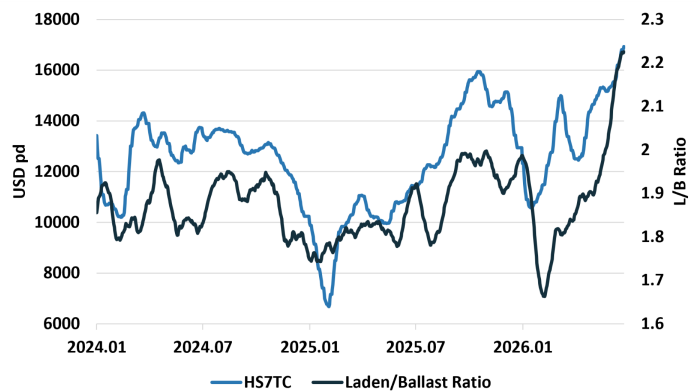
## Weekly Shipment Volumes



## S11TC Shifted 1 Week Forward, vs HS7TC



## Handysize 7TC vs Laden/Ballast Ratio





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